

THE DAILY FINANCE BRIEF

Financial News in Plain English

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Personalised for Rishabh Srinivasan

ECONOMY

U.S. Inflation Expected to Rise Due to Global Conflicts

The U.S. is facing a potential increase in inflation, which is the general rise in prices of goods and services over time. The OECD, an organization that provides economic analysis, predicts that inflation will reach 4.2% in 2026, which is higher than earlier estimates. This rise is attributed to ongoing tensions in the Middle East, which have led to increased energy prices.

Source: Wikipedia

For everyday people, higher inflation means that the cost of living could increase, making it more expensive to buy groceries, gas, and other essentials. As prices rise, families may need to adjust their budgets to accommodate these changes.

MARKETS

U.S. Stock Markets Decline Due to Global Tensions

On August 18, 2026, major U.S. stock markets saw declines as tensions in the Middle East escalated. The S&P 500, which tracks the stock prices of 500 large U.S. companies, fell by 0.465%, while the Dow Jones Industrial Average, another key index, decreased by 0.47876%. These declines reflect investor concerns about potential disruptions in global oil supply.

For ordinary people, stock market declines can impact retirement savings and investments, as many individuals have their savings tied to these markets. Understanding these movements can help people make informed financial decisions.

Source: Yahoo Finance

Bitcoin Prices Rise as Investors Seek Alternatives

On August 18, 2026, Bitcoin, a type of digital currency, saw its price increase by over 1% as investors looked for alternative assets amid global market uncertainty. Bitcoin reached a price of \$64,305, indicating a shift towards digital currencies during turbulent times.

This rise in Bitcoin's price may not directly affect most people's daily finances, but it highlights the growing interest in cryptocurrencies as potential investment options.

Source: CoinDesk

European Inflation Predictions Rise Due to Ongoing Conflicts

Inflation forecasts in Europe are on the rise, with predictions now suggesting rates could reach between 2.6% and 4.4% in 2026. This increase is linked to the ongoing conflict in the Middle East, which has raised concerns about economic stability in the region.

For everyday Europeans, higher inflation means that prices for everyday goods and services could rise significantly, impacting their purchasing power and overall cost of living.

Source: Wikipedia

COMPANIES

Microsoft Stock Drops Amid Market Concerns

Microsoft Corporation's stock price fell by nearly 3% on August 18, 2026, amid broader market declines influenced by geopolitical tensions. This drop reflects investor worries about potential impacts on the tech sector.

For everyday people, fluctuations in major companies' stock prices can affect retirement accounts and investments, making it important to understand these market movements.

Source: Yahoo Finance

Apple Stock Slightly Declines Amid Market Trends

On August 18, 2026, Apple Inc.'s stock price experienced a minor decline of 0.08662% to \$305.59, reflecting broader market trends influenced by geopolitical tensions. While this decline is small, it indicates how external factors can impact even the largest companies.

For everyday people, understanding these market movements is important as they can affect retirement savings and investments.

Source: Yahoo Finance

FEATURE

EXPLAINER OF THE DAY

Understanding Stagflation: What It Means for You

Stagflation is an economic condition where the economy experiences stagnant growth, high unemployment, and high inflation. It is a challenging situation for policymakers, as efforts to control inflation can worsen unemployment.

Today, stagflation is in the news due to concerns about potential economic impacts from ongoing conflicts in the Middle East. Understanding this concept is essential for recognizing how it may affect everyday life.

Source: Wikipedia